

7.4 Payment Tracking

Every draw, check number and lien waiver, tracked per subcontractor.

Importance of Payment Tracking

Tracking subcontractor payments is essential for:

- Managing cash flow and ensuring funds are available when needed
- Protecting against mechanic's liens by obtaining lien waivers
- Verifying work completion before releasing payments
- Maintaining professional relationships with subcontractors
- Documenting payment history in case of disputes

⚠ CRITICAL — Lien Waiver Best Practices

- **Never make a payment without receiving a lien waiver**
- For progress payments: obtain "Conditional Waiver and Release Upon Progress Payment" before paying
- For final payment: obtain "Unconditional Waiver and Release Upon Final Payment" before paying
- Keep all lien waivers in Section 3 (Subcontractor Management)
- Verify subcontractor has paid their suppliers before releasing final payment

INSTRUCTIONS: Use the forms below to track all payments to subcontractors. Update immediately when payments are made.

Subcontractor Payment Tracking #1

Subcontractor Name: _____ Trade: _____

Contract Date: _____ Total Contract Amount (\$): _____

Payment	Date	Amount (\$)	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)			☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Draw 3 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Final Payment			☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID (\$)				BALANCE OWED (\$)		

Work Completion Status Before Final Payment:
☐ All work completed per contract
 ☐ Punch list items completed
 ☐ Final inspection passed
Subcontractor Payment Tracking #2

Subcontractor Name: _____ Trade: _____

Contract Date: _____ Total Contract Amount (\$): _____

Payment	Date	Amount (\$)	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)			☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Draw 3 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Final Payment			☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID (\$)				BALANCE OWED (\$)		

Work Completion Status Before Final Payment:
☐ All work completed per contract
 ☐ Punch list items completed
 ☐ Final inspection passed

Subcontractor Payment Tracking #3

Subcontractor Name: _____ Trade: _____

Contract Date: _____ Total Contract Amount (\$): _____

Payment	Date	Amount (\$)	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)			☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Draw 3 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Final Payment			☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID (\$)			BALANCE OWED (\$)			

Work Completion Status Before Final Payment:
☐ All work completed per contract
 ☐ Punch list items completed
 ☐ Final inspection passed
Subcontractor Payment Tracking #4

Subcontractor Name: _____ Trade: _____

Contract Date: _____ Total Contract Amount (\$): _____

Payment	Date	Amount (\$)	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)			☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Draw 3 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Final Payment			☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID (\$)			BALANCE OWED (\$)			

Work Completion Status Before Final Payment:
☐ All work completed per contract
 ☐ Punch list items completed
 ☐ Final inspection passed

Subcontractor Payment Tracking #5

Subcontractor Name: _____ Trade: _____

Contract Date: _____ Total Contract Amount (\$): _____

Payment	Date	Amount (\$)	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)			☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Draw 3 (Progress)			☐ Y ☐ N		☐ Y ☐ N	
Final Payment			☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID (\$)				BALANCE OWED (\$)		

Work Completion Status Before Final Payment:
☐ All work completed per contract
 ☐ Punch list items completed
 ☐ Final inspection passed